LUXORA FINANCE LTD.

Money Services Business | Canada

KYC POLICY

Know Your Client Policy

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Approved By	Board of Directors
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1. PURPOSE AND SCOPE

This Know Your Client (KYC) Policy establishes the standards and procedures that Luxora Finance Ltd. ('the Company') applies to identify, verify, and understand its clients. It supports compliance with the Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA), associated regulations, and FINTRAC guidance applicable to Money Services Businesses (MSBs).

The KYC process is foundational to Luxora's anti-money laundering (AML) and anti-terrorist financing (ATF) framework. By knowing who its clients are, Luxora can assess risks, detect suspicious activity, and fulfill its reporting obligations to FINTRAC.

1.1 Scope

- All employees, contractors, and agents of Luxora Finance Ltd.
- All client-facing products and services: foreign exchange, money transfers, virtual currency exchange, prepaid payment products, and cheque cashing.
- All branches, online platforms, and authorized agent locations.
- All new and existing client relationships, including periodic reviews.

2. REGULATORY BASIS

Requirement	Source
Client identification for prescribed transactions	PCMLTFR ss. 54–65 (MSB obligations)
Business relationship recordkeeping	PCMLTFR s. 9
Beneficial ownership determination	PCMLTFR ss. 11.1–11.2
Ongoing monitoring of business relationships	PCMLTFA s. 9.4
PEP/HIO determination	PCMLTFR ss. 62.1–62.2
Third-party determination	PCMLTFR s. 9.2
Virtual currency transaction obligations	PCMLTFR ss. 105.1–105.5

3. KYC FRAMEWORK OVERVIEW

Luxora's KYC framework comprises three interconnected pillars:

PILLAR 1 Customer Identification	PILLAR 2 Customer Due Diligence	PILLAR 3 Ongoing Monitoring
Verify who the client is using FINTRAC-approved methods before or during the first qualifying transaction.	Understand the client's purpose, source of funds, beneficial ownership, PEP/HIO status, and risk profile.	Continuously review transactions and update client information to detect deviations from expected patterns.

4. WHEN CLIENT IDENTIFICATION IS REQUIRED

Triggering Transaction / Event	Threshold / Condition
Foreign exchange transaction	CAD $3,000 or more
Money transfer (domestic or international)	CAD $1,000 or more
Virtual currency exchange	CAD $1,000 or more
Cash receipt	CAD $10,000 or more (single or 24-hr aggregate)
Prepaid payment product — issuance or redemption	CAD $1,000 or more
Cheque cashing	CAD $3,000 or more
Establishing a business relationship	Regardless of amount
Suspicion of money laundering or terrorist financing	Regardless of amount
Virtual currency — business relationship	At any value upon establishing relationship

Note: Where two or more transactions are conducted by the same person or entity within 24 consecutive hours and the total meets or exceeds the applicable threshold, they are treated as a single transaction for identification purposes.

5. IDENTIFICATION METHODS — INDIVIDUALS

5.1 In-Person Identification

Method A — Government-Issued Photo ID

The employee physically examines the original document (not a photocopy or digital image) and records:

- Full legal name as it appears on the document.
- Date of birth.
- Document type (e.g., passport, driver's licence, provincial ID).
- Document number.
- Issuing jurisdiction (province, territory, or country).
- Expiry date.

Acceptable documents:

Document	Issuing Authority
Canadian Passport	Government of Canada
Provincial or Territorial Driver's Licence	Provincial/Territorial Ministry of Transport
Provincial or Territorial Identification Card	Provincial/Territorial Government
Permanent Resident Card (PRC)	Immigration, Refugees and Citizenship Canada
Foreign Passport	Foreign national government
NEXUS Card	Canada Border Services Agency / US CBP
Canadian Forces Identification Card	Department of National Defence
Secure Certificate of Indian Status	Crown-Indigenous Relations

Expired documents are NOT acceptable. Photocopies or digital scans are NOT acceptable for in-person identification under Method A.

Method B — Credit File (In-Person or Remote)

A credit file with Equifax Canada or TransUnion Canada that has been in existence for at least three (3) years and contains the client's name, address, and date of birth. The employee must access the credit file directly through an approved credit bureau API or service.

Method C — Dual-Process Method (In-Person or Remote)

Two independent, reliable sources — one confirming name and date of birth, the other confirming name and address — from separate categories below:

Category	Acceptable Sources
Government-issued documents	CRA Notice of Assessment, T4 slip, provincial health card (non-photo), GST/HST registration, birth certificate (non-photo ID provinces only)

Financial institution documents	Bank statement (within 90 days), credit card statement, mortgage statement, insurance policy, investment account statement
Other institutional	Utility bill (within 90 days), municipal tax statement, Canada Post confirmation of address

5.2 Remote / Non-Face-to-Face Identification

Where clients are onboarded through digital channels, Luxora uses the following FINTRAC-compliant methods:

Remote Method	Requirements
Credit File Verification	Equifax/TransUnion credit file open at least 3 years; contains name, DOB, address. Automated API query with real-time confirmation.
Dual-Process (Electronic)	Two independent electronic data sources from different categories as specified in Method C above. Both must be from Canadian sources.
Electronic Identity Verification (eIDV)	Third-party eIDV provider that uses authoritative data sources (credit bureau, government database). Provider must be documented and approved by CCO.
Video-Assisted Identification	Live video call where agent views client and original photo ID in real time. Session is recorded and retained. Used as supplementary method where eIDV is inconclusive.
Affiliate Reliance	Identification performed by a FINTRAC-registered financial entity or MSB acting on Luxora's behalf. Written agreement required. Records transferred to Luxora immediately.

All remote clients receive at minimum a Medium risk rating. Transactions above CAD $5,000 conducted remotely require additional verification confirmation by the CCO or compliance team.

6. IDENTIFICATION — CORPORATIONS AND LEGAL ENTITIES

6.1 Required Information

For corporate and other legal entity clients, Luxora must confirm the entity's existence and record:

- Full legal name.
- Business number or registration number.
- Registered address and principal place of business.
- Nature of business / principal activities.
- Names of directors (for corporations).
- Identity of authorized representatives.

6.2 Confirmation of Existence

Entity Type	Acceptable Confirmation Documents
Federal Corporation (CBCA)	Certificate of Incorporation, Articles of Incorporation, CBCA Annual Return from the Corporate Registry
Provincial Corporation	Certificate of Incorporation or Registration from the relevant provincial registry; Articles of Incorporation
Partnership	Partnership agreement; provincial registration certificate
Trust	Trust deed or agreement; trustee resolution
Unincorporated association	Constituting documents; list of directors/officers
Foreign entity operating in Canada	Certificate of extra-provincial registration; equivalent incorporation document from home jurisdiction

6.3 Authorized Representative Identification

Luxora must identify and verify the identity of at least one individual authorized to act on behalf of the entity using the individual identification methods in Section 5.

7. BENEFICIAL OWNERSHIP

7.1 Threshold

Beneficial owners are all individuals who directly or indirectly own or control 25% or more of the entity.

7.2 Collection Process

1. Request a signed beneficial ownership declaration from the entity, listing all individuals at or above the 25% threshold.
2. For complex structures, request an organizational chart showing ownership layers.
3. Cross-reference against the Canada Business Corporations Act (CBCA) beneficial ownership registry and provincial equivalents.
4. Identify and verify each beneficial owner using the individual identification methods in Section 5.

5. Where beneficial ownership cannot be determined, escalate to the CCO. Consider STR filing if the lack of transparency appears intentional.

7.3 Trust Beneficial Ownership

For trusts, Luxora identifies and verifies:

- All trustees.
- All known beneficiaries.
- The settlor (where still living and identifiable).
- Any protectors or other controlling parties.

8. PEP AND HIO DETERMINATION

8.1 Screening Obligation

Luxora must take reasonable measures to determine whether each client (individual or controlling persons of entity clients) is a Politically Exposed Person (PEP), Head of an International Organization (HIO), or a close associate or family member of a PEP/HIO.

8.2 PEP/HIO Categories

Category	EDD Level
Domestic PEP	Enhanced scrutiny if high ML/TF risk assessed; senior management approval required.
Foreign PEP	Mandatory EDD regardless of risk. Senior management approval required. Source of funds/wealth required.
HIO	Enhanced scrutiny if high ML/TF risk assessed.
Family member of domestic or foreign PEP/HIO	Same EDD level as the PEP/HIO themselves.
Close associate of domestic or foreign PEP/HIO	Same EDD level as the PEP/HIO themselves.

8.3 Five-Year Rule

Individuals who have ceased to hold a PEP or HIO position retain PEP/HIO status for five years following the end of their tenure.

8.4 Screening Tools and Frequency

- All new clients screened at onboarding using approved PEP/HIO database (e.g., Refinitiv World-Check, Dow Jones, or equivalent).
- Existing clients re-screened at every periodic review and whenever new information is obtained.
- Alerts are reviewed and resolved by the Compliance team within one business day.

9. THIRD-PARTY DETERMINATION

Luxora must take reasonable measures to determine whether each transaction is conducted on behalf of a third party. Employees ask clients the standard question: 'Are you conducting this transaction on behalf of another person or entity?'

Where a third party is identified, Luxora records:

- Third party's full legal name.
- Address.
- Date of birth (individual) or registration number (entity).
- Nature of relationship between client and third party.

Transactions involving unidentified third parties or inconsistent explanations are escalated to the CCO as potential ML/TF indicators.

10. CUSTOMER DUE DILIGENCE (CDD) LEVELS

CDD Level	When Applied	Key Requirements
Standard CDD	Low-risk clients; domestic, verifiable identity, normal transaction patterns.	Identification; source of funds inquiry; risk rating; business relationship record.
Enhanced Due Diligence (EDD)	Medium/High-risk clients; foreign PEPs; high-risk jurisdictions; complex structures; large VC transactions.	All Standard CDD requirements PLUS: senior management approval; source of wealth documentation; more frequent monitoring; CCO sign-off.
Simplified CDD	Not applicable — FINTRAC does not permit simplified CDD for MSBs. All clients require at minimum Standard CDD.	N/A

11. KYC RECORDS AND RETENTION

Record Type	Retention Period
Client identification record (individual)	5 years from last transaction date in the business relationship
Client identification record (entity)	5 years from last transaction date in the business relationship
Beneficial ownership records	5 years from end of business relationship
Business relationship record	5 years from end of business relationship
PEP/HIO screening records (positive and negative)	5 years from date of screening
Third-party determination records	5 years from date of transaction
Risk assessment records	5 years from date of assessment

12. INABILITY TO COMPLETE KYC

If Luxora cannot complete required KYC — due to client refusal, inability to provide documents, inconsistent information, or unsatisfactory responses — it must:

6. Decline to complete the transaction or service.
7. Escalate immediately to the CCO.
8. Consider whether a Suspicious Transaction Report (STR) should be filed with FINTRAC.
9. Document the refusal, the reason, and the disposition.
10. Consider terminating any existing business relationship with the client.

Clients must not be informed that an STR is being or has been filed (tipping-off prohibition).

13. KYC PERIODIC REVIEW

Client Risk Rating	Review Frequency
High Risk	At least annually
Medium Risk	At least every 2 years
Low Risk	At least every 3 years
Any risk level — material change in circumstances	Immediately upon detection of change

Periodic reviews include: re-screening for PEP/HIO/sanctions; updating identification if expired; confirming source of funds; updating risk rating; and re-documenting business relationship purpose.

14. GOVERNANCE AND ACCOUNTABILITY

- The Chief Compliance Officer (CCO) is responsible for the maintenance and enforcement of this Policy.
- All client-facing employees are responsible for collecting KYC information and escalating concerns.
- The Board of Directors approves this Policy and its material amendments.
- Any employee who knowingly falsifies or omits KYC records is subject to immediate termination and referral to law enforcement.

POLICY ACKNOWLEDGMENT

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